Subject: Fwd: Mister Sparky/Hodge & Bustos
Date: Thursday, May 28, 2026 at 3:35:42 PM Central Daylight Time
From: Robert Salkowski
To: Richard Hodge, Albert Bustos
Attachments: image147279.png, You've been sent large files.eml

Robert F. Salkowski
Zarco Einhorn Salkowski, P.A.
(305)374-5418

Begin forwarded message:

From: "Sturm, Michael L." <michael.sturm@lathropgpm.com>
Date: May 28, 2026 at 2:58:03 PM EDT
To: Robert Salkowski <RSalkowski@zarcolaw.com>
Subject: Mister Sparky/Hodge & Bustos

Robert:

In connection with the discussions of the extension agreement, your clients have requested that Mister Sparky provide an itemization and documentation regarding past-due amounts that are owed. I have attached the requested documentation. Please confirm receipt and let me know if you have any problem accessing the documents.

This email provides some further explanation for your clients' benefit in reviewing the information provided. It is broken out by entity (Incredible Electric, R&J, RGRH, and Bustos Investments). These statements do not consider recent amounts due in the ordinary course of business, nor do they include any potential underreporting (i.e., the amounts stated to be due are all based on reported sales).

Incredible Electric

As you will see in the statement, the amount due is $4,627.94. On many of the statements, you will see a "balance forward" (in this case, $50,690.41). That, however, is an artifact from a system change in 2019 and is not included in the amounts due for any of the entities. The amount due is derived from the $11,462.39 invoice (10/3/201) and an NSF for $6,865.82 (2023) less the two listed credit memos in 2025 ($13,628.18 in 2025 and $18.09 in 2026).

RGRH

The amount due is $4,513.35 from a December 18, 2023 invoice that originally was for $5,520.20. As indicated in the documents, $1,006.85 has been applied.

R&J

This entity has an unapplied credit balance of $2,389.22. So, no amount is presently past due as to this entity.

Bustos Investments

This is the largest and most complex of the four entities. The amount due is $149,761.16. Note again that, on the statement, the $31,134.97 “balance forward” is not counted in the balance. The amounts due are principally minimum royalties and NAF that have been charged because Dallas and Ft. Worth were improperly reported together. The invoiced amounts were not paid. The large invoice (No. 29403) is attached and is for 66 months of the contractual minimum royalty ($3,750 monthly) for 66 months ending December 2024 less the amount previously billed for that month (as reflected in the statement).

If your client has questions regarding these amounts, or has contrary information, Authority Brands will be prepared to review and respond. Otherwise, they are subject to payment as provided in the extension agreement.

Thanks,

Michael

Michael Sturm

Partner

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